October 29, 2024

Submitted electronically

Ms. Vanessa Countryman
Secretary
Securities and Exchange Commission
100 F Street, N.E.
Washington, D.C. 20549-1090

Re: File No. 10-242; Application of 24X National Exchange LLC for Registration as a National Securities Exchange

Dear Ms. Countryman:

MEMX LLC ("MEMX") appreciates the opportunity to provide comments to the U.S. Securities and Exchange Commission ("Commission") on the above-referenced application for registration as a national securities exchange filed by 24X National Exchange LLC ("24X").[1] MEMX writes this comment letter in response to comments submitted by Investors Exchange LLC ("IEX") relating to the provision of technology by a MEMX affiliate, MEMX Technologies, LLC ("MEMX Technologies"), to 24X in connection with their proposed launch of a U.S. equities exchange.[2] In its letter, IEX makes a number of disingenuous arguments to suggest that 24X's use of MEMX Technologies' market-as-a-service offering raises concerns

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1 See Securities Exchange Act Release No. 100839 (August 27, 2024), 89 FR 71471 (September 3, 2024) (File No. 10-242) (Amendment No. 1).

2 See Letter from John Ramsay, Chief Market Policy Officer, IEX to Vanessa Countryman, Secretary, Commission dated October 9, 2024, *available at* https://www.sec.gov/comments/10-242/10242-527855-1516402.pdf.

under the Exchange Act.[3] Simply put, IEX's arguments are without merit, and have already been substantively addressed by the Commission in its order approving a similar arrangement between MEMX Technologies and Long-Term Stock Exchange, Inc. ("LTSE").[4]

Contrary to IEX's claim that use of MEMX's proven exchange technology somehow raises unique resilience concerns, the opposite is true. In reality, the strength of MEMX's technology platform is the primary reason that 24X, LTSE, and several other trading venues have contracted with MEMX Technologies to power their trading systems. MEMX has shown that its technology platform is robust and resilient day in and day out for the past four years. Instead of using our proven technology, IEX would have each new exchange build their own trading platform from scratch. While some may be able to do so successfully, it is unclear why IEX appears to believe that such as-of-yet undeveloped systems would be more resilient than an offering that has been proven over many years in a live production environment.

What's more, as IEX is surely aware, having a common technology platform underlying multiple registered exchanges is hardly a new phenomenon. Of the sixteen currently licensed U.S. equities exchanges, twelve are operated by just three exchange groups that each operate several independently-registered exchanges using a common technology platform. Nasdaq, Inc. ("Nasdaq") alone operates a total of nine registered U.S. exchanges, including three equities exchanges and six options exchanges, on its INET technology platform. And while IEX downplays the extent to which existing exchanges provide technology to other market participants, Nasdaq technology is also used to operate

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3 Healthy Markets Association, a group of which IEX is a member, also makes similar arguments. See Letter from Chris Nagy, Research Director and Tyler Gellasch, President and CEO, Healthy Markets Association to Vanessa Countryman, Secretary, Commission dated June 26, 2024, *available at* https://www.sec.gov/comments/10-242/10242-486091-1389154.pdf. Our comments herein are responsive to both commenters.

4 See Securities Exchange Act Release No. 100783 (August 20, 2024), 89 FR 68481 (August 26, 2024) (SR-LTSE-2024-03) (Order Approving a Proposed Rule Change To Transition to a New Trading Platform and Amend Its Trading Rules).

at least one ATS that is meets the volume threshold for compliance with Regulation SCI;[5] the securities information processor ("SIP") for Tape C stocks; and two of three trade reporting facilities ("TRFs"). Other exchange groups, including NYSE Group ("NYSE") and Cboe Global Markets, Inc. ("Cboe"), have similarly large technology footprints, each using their technology to operate several exchanges across multiple asset classes and a broad array of other important market utilities. Notwithstanding their comments, even IEX seemingly has no problem with using their own technology platform to run multiple exchanges. Just last month, IEX announced its plan to launch a U.S. options market.[6] And far from agonizing over the impact that this may have on resiliency, their announcement touts their decade of experience successfully operating a market technology platform.[7]

It is not surprising then that, other than a single, oblique reference to Regulation SCI, IEX cites no statute or Commission regulation to support its view that multiple exchanges running on the same underlying technology platform raises special concerns under the Exchange Act. Not only does such legal authority not exist, divining such a rule now would imperil the standard practice of individually registered exchange affiliates running on common technology. And IEX makes no case,[8] much less a legally-cognizable one, that non-affiliated exchanges running on a common technology platform somehow creates unique resiliency risks when compared to the numerous examples of exchange affiliates doing that very thing. Exchange affiliates operating on a common technology platform has been normal

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5 See 17 CFR § 242.1000.

6 See https://www.prnewswire.com/news-releases/iex-enters-options-market-with-top-talent-and-innovative-solutions-302247967.html.

7 Id.

8 IEX does briefly attempt to distinguish the practice of exchange holding companies providing comprehensive technology support to ATSs on the basis that those venues are not registered as exchanges. It's not clear why IEX believes that distinction is relevant to its resilience point when some of those ATSs trade more volume than many exchanges and, because of the volume they trade, are subject to heightened compliance obligations pursuant to Regulation SCI. See supra note 5 and accompanying text. Regardless, IEX does not even attempt to address the obvious case of exchanges using common technology across a range of affiliated markets.

practice for decades, and has been a consistent driver of consolidation within the exchange industry. MEMX Technologies' market-as-a-service offering simply provides these same economies of scale to new innovators. That may mean more competition for IEX, but the Commission's role is investor protection not protection of individual market participants.

Simply put, IEX knows full well that there are benefits to using proven technology and that numerous market participants in various segments of the industry make use of vendors to satisfy their technology needs. Use of vendors across the financial ecosystem allows competitors of all sorts to focus on their core business, whether that's facilitating the move to a 24-hour trading model, as in the case of 24X and the Blue Ocean ATS ("BOATS"), another MEMX client,[9] or in attracting listings from corporate issuers, as in the case of LTSE and several other MEMX Technologies customers. Our market-as-a-service technology offering allows these markets to focus on innovation, and on executing on their business plans, while ensuring that their clients trade on a reliable, deterministic, and scalable trading platform.

Although IEX's letter pays lip service to the concepts of innovation and competition, their substantive comments seem intent on ensuring that only they can innovate or compete. Indeed, when IEX went through its own Form 1 approval process almost ten years ago, they proclaimed, in the face of significant industry concerns about the impact of their unique market model, that "the equity markets should stand for freedom of choice."[10] A decade later, it seems that their professed commitment to freedom of choice has wavered. Regardless, whether IEX would prefer that MEMX refrained from offering our technology to competing exchanges is of little consequence. The Exchange Act does not give IEX or any other market the ability to dictate what service providers their competitors can use. And, as

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[9] See https://www.prnewswire.com/news-releases/blue-ocean-technologies-selects-memx-as-technology-partner-to-power-blue-ocean-ats-302044198.html.

[10] See Letter from Sophia Lee, General Counsel, IEX to Brent Fields, Secretary, Commission dated November 13, 2015, *available at* https://www.sec.gov/comments/10-222/10222-20.pdf.

shown by the various markets that have chosen MEMX as their technology provider of choice, those competitors know who to turn to for a market tested technology platform.

We don't know why IEX has chosen to take aim at our market technology offering. What we do know is that IEX is not the arbiter of what is good for financial markets. That role lives, as it must, with the Commission. And the Commission has already answered this question definitively. Just two months ago, the Commission approved LTSE's filing to transition its prior trading platform "to a new trading platform that uses technology provided by MEMX technologies."[11] Unlike IEX's comment letter, which is sparse on legal analysis, the Commission's order addresses the pertinent legal questions and concludes that this arrangement "is consistent with the Exchange Act."[12] With Commission approval in hand, LTSE launched its new trading platform provided by MEMX Technologies on September 23, 2024, and completed its rollout across all symbols on October 7, 2024.[13] Whatever half-baked argument IEX can muster about resiliency is directly contradicted by the facts on the ground. The reality is that market participants have reacted positively to the transition. While LTSE had garnered little to no market share over the past four years, its recent launch on MEMX Technologies has coincided with a significant uptick in volume. With its symbol rollout completed earlier this month, LTSE now accounts for more than 0.2% of consolidated equities volume, putting it on par with smaller exchanges operated by the NYSE and Nasdaq exchange groups. This is the value of a proven market technology offering. While IEX would erect imaginary barriers to deny these benefits to new innovators, MEMX is here to support our clients' – and the broader market's – need for robust and resilient trading platforms.

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11 See supra note 4.

12 Id.

13 See https://cdn.prod.website-files.com/6462417e8db99f8baa06952c/66edc9954fd2c988f312cd75_MA-2024-018_%20Final%20Notice%20-%20Long-Term%20Stock%20Exchange%20Go-Live%20-%20Google%20Docs.pdf.

Sincerely

/s/ Adrian Griffiths

Adrian Griffiths
Head of Market Structure